The industry suffered a setback in 1947 as good quality cotton growing area went to Pakistan. Consequently, India had to import cotton from the African countries.

Statement II: CORRECT—The location of cotton textile industry is mainly affected by: raw material, proximity to market, moist weather, capital, skilled and cheap labour, transport, sea-port, export facility and the domestic and international markets. Cotton mills and factories: earlier production was in the mills however it has moved to power looms.

Power loom: The decentralised power-loom sector played a vital role in meeting the clothing needs of the country. The power loom industry accounts for almost 83% of the total cloth production. The handloom sector provides over 12% of the total production.

64. Statement I: CORRECT—Industrial Policy Resolution of 1948. It defined the broad contours of the policy delineating the role of the State in industrial development both as an entrepreneur and authority. It made clear that India is going to have a Mixed Economic Model.

It classified industries into four broad areas: Strategic Industries (Public Sector): It included three industries in which Central Government had monopoly. These included Arms and ammunition, Atomic energy and Rail transport.

Basic/Key Industries (Public-cum-Private Sector): six industries vis. coal, iron and steel, aircraft manufacturing, ship-building, manufacture of telephone, telegraph and wireless apparatus, and mineral oil were designated as “Key Industries” or “Basic Industries”. These industries were to be set-up by the Central Government. However, the existing private sector enterprises were allowed to continue.

Statement II: CORRECT—Industrial Policy Statement of 1956: Government revised its first Industrial Policy (i.e. the policy of 1948) through the Industrial Policy of 1956.

It was regarded as the “Economic Constitution of India” or “The Bible of State Capitalism”.

The 1956 Policy emphasised the need to expand the public sector, to build up a large and growing cooperative sector and to encourage the separation of ownership and management in